Functions of the Central Bank (The Fed)

Team Teaching Financial Markets and Institutions

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Functions of the Fed

Understanding how the Federal Reserve System controls monetary policy, regulates financial institutions, and influences the U.S. economy through its organizational structure and policy tools.

CHAPTER OVERVIEW

Learning Objectives

Organizational Structure

Understand the Fed's components and how they work together

Money Supply Control

Learn how the Fed manages monetary policy

Crisis Response

Examine the Fed's role during the 2008 credit crisis

Global Perspective

Explore monetary policy in other countries

Birth of the Federal Reserve

A Response to Crisis

During the late 1800s and early 1900s, the United States experienced several banking panics that threatened economic stability. In 1913, Congress enacted the Federal Reserve Act, creating the Federal Reserve System to enhance the safety of the U.S. banking system.

Today, the Fed serves as the central bank of the United States, responsible for conducting national monetary policy to achieve full employment and price stability.

STRUCTURE

Five Major Components of the Fed

01

Federal Reserve District Banks

12 regional banks across the United States

02

Member Banks

Commercial banks that join the Federal Reserve System

03

Board of Governors

Seven members appointed by the president

04

Federal Open Market Committee

Sets monetary policy and interest rate targets

05

Advisory Committees

Provide expert guidance on banking and economic issues

The 12 Federal Reserve Districts

Each district bank has nine directors representing member banks and the public. The New York district bank is considered the most important due to the concentration of large financial institutions in its region.

Federal Reserve District Banks

Key Responsibilities

- Clearing checks between financial institutions
- Replacing old currency with new bills
- Providing loans through the discount window
- Collecting economic data and conducting research
- Supervising member banks in their regions

Member Banks

38%

Banks Are Members

Percentage of all U.S. banks that are Fed members

70%

Deposits Controlled

Member banks account for approximately 70% of all bank deposits

All national banks chartered by the Comptroller of the Currency must be members, while state-chartered banks may choose to join if they meet specific requirements.

Board of Governors

The Board of Governors consists of seven members with offices in Washington, D.C. Each member is appointed by the president and serves a nonrenewable 14-year term. This long tenure reduces political pressure and encourages policies that benefit the economy over the long run.

One member serves as the Federal Reserve chair for a four-year renewable term. Jerome Powell currently holds this position. Another member serves as vice chair for supervision, overseeing financial institution regulation.

Board of Governors Powers

Margin Requirements

Sets minimum percentage of cash required for securities investments

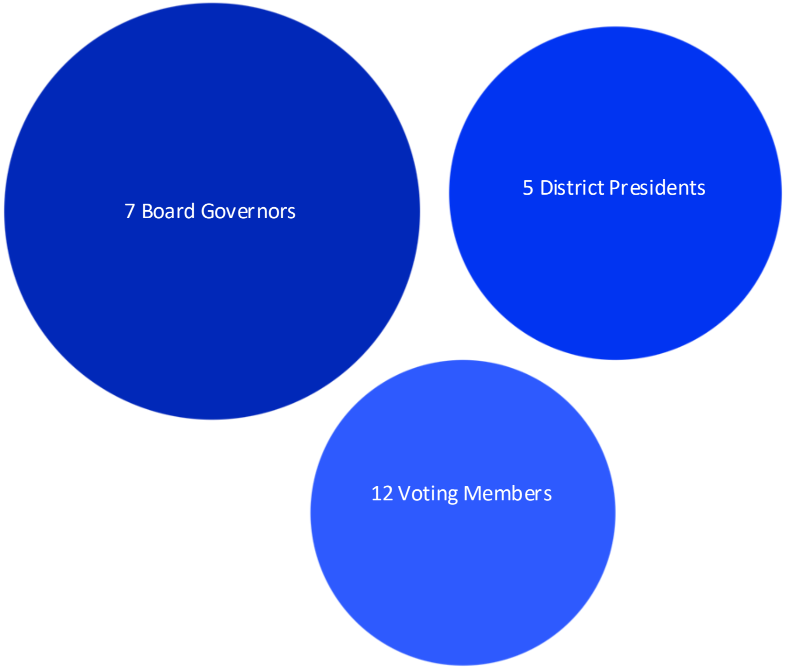
Reserve Requirements

Determines the proportion of deposits banks must hold in reserve

Monetary Policy Influence

Major role in shaping national monetary policy decisions

Federal Open Market Committee



Composition and Goals

The FOMC includes the seven Board of Governors members plus five Fed district bank presidents (New York plus four rotating). The chair of the Board of Governors serves as FOMC chair.

Main goals: achieve stable economic growth and price stability (low inflation). The committee controls the money supply to stabilize financial markets and interest rates.

Advisory Committees

Federal Advisory Council

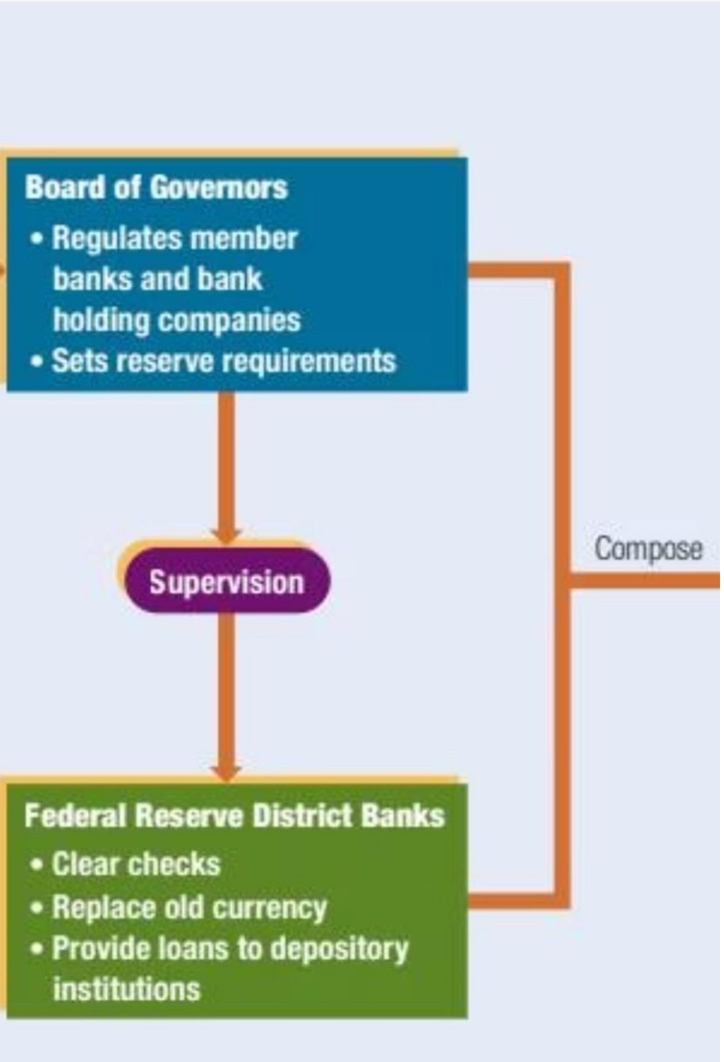
One member from each district representing the banking industry. Meets with Board of Governors at least four times yearly.

Community Depository Institutions Advisory Council

12 members representing savings banks, savings and loans, and credit unions. Meets twice annually.

Community Advisory Council

15 members offering perspectives on financial services for low- and moderate-income populations. Meets twice yearly.



How the Fed Components Work Together

Advisory committees provide guidance to the Board of Governors, which oversees district banks and sets reserve requirements. The Board and district bank representatives compose the FOMC, which conducts open market operations to control monetary policy.

CONSUMER PROTECTION

Consumer Financial Protection Bureau

Independent Agency

Established by the Financial Reform Act of 2010, the Consumer Financial Protection Bureau operates independently within the Federal Reserve. Its director is appointed by the president with Senate consent.

The bureau regulates financial products and services including online banking, certificates of deposit, and mortgages. It can act quickly to protect consumers from deceptive practices without waiting for new legislation.

Key Responsibilities

- Regulate financial products and services
- Protect consumers from deceptive practices
- Improve financial literacy through education
- Monitor compliance with consumer protection laws

Fed Control of the Money Supply

The Fed implements monetary policy to achieve full employment, low inflation, and moderate long-term interest rates. Through monetary policy, the Fed influences the U.S. economy in multiple powerful ways.

Three Ways Monetary Policy Impacts the Economy

Household Borrowing

Affects interest rates on mortgages, car loans, and other consumer debt, influencing household spending

Business Investment

Influences corporate borrowing costs, affecting business expansion and operations

Securities Prices

Affects returns on investments and prices of debt and equity securities

The FOMC Decision Process

Eight Meetings Per Year

The FOMC meets eight times annually to set targets for money supply growth and interest rates. Members receive the Beige Book two weeks before meetings, containing regional economic reports from all 12 districts.

One week before meetings, participants receive economic analyses and forecasts. Staff economists present data on wages, prices, unemployment, GDP, business inventories, exchange rates, and financial market conditions.

Economic Indicators Monitored by the FOMC

Production Levels

Manufacturing output and capacity utilization rates

Business Investment

Capital expenditures and inventory changes

Residential Construction

Housing starts and building permits

International Trade

Exports, imports, and foreign economic growth

Inflation Indicators

Oil prices, wage growth, and consumer prices

Financial Markets

Interest rates and exchange rates

The Federal Funds Rate

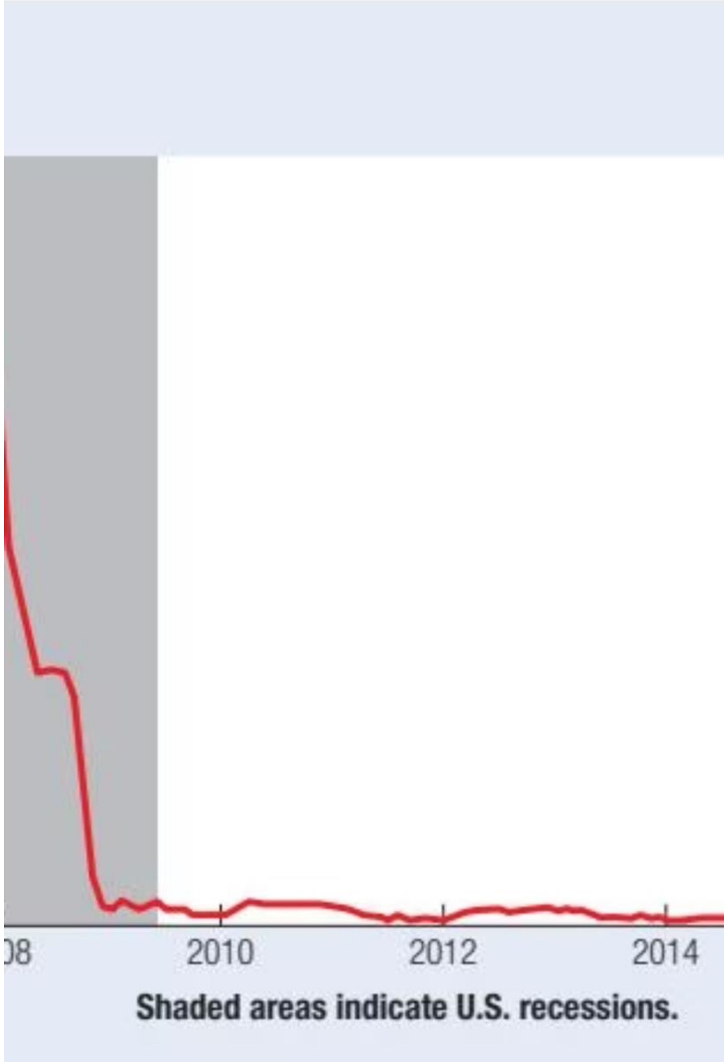
What It Is

The federal funds rate is the interest rate banks charge each other for short-term loans, usually overnight. While determined by market participants, the Fed influences this rate by adjusting the supply of funds in the banking system.

The FOMC sets a target rate (such as 2.5%) or range (such as 2.5-2.75%). Because all short-term interest rates are affected by the supply and demand for funds, the Fed's actions influence not just the federal funds rate but all interest rates.

Federal Funds Rate Over Time

The Fed reduced the federal funds rate near the end of 2007 as signs of the credit crisis emerged. In December 2008, the target was set at 0-0.25% to stimulate the economy. This historically low rate was maintained through 2015, with gradual increases beginning in 2016.



FOMC Communication

1. Meeting Day

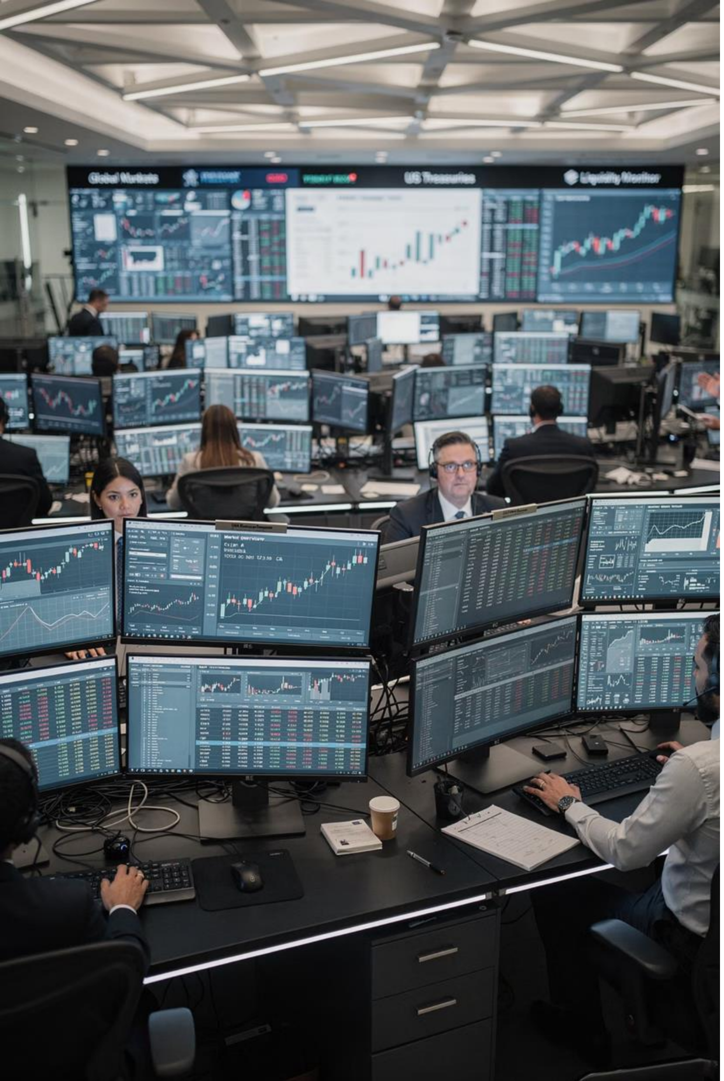
FOMC votes on policy and issues detailed statement summarizing conclusions

2. Within 3 Weeks

Meeting minutes published, showing different viewpoints of participants

3. Ongoing

Financial markets analyze statements to forecast economic conditions

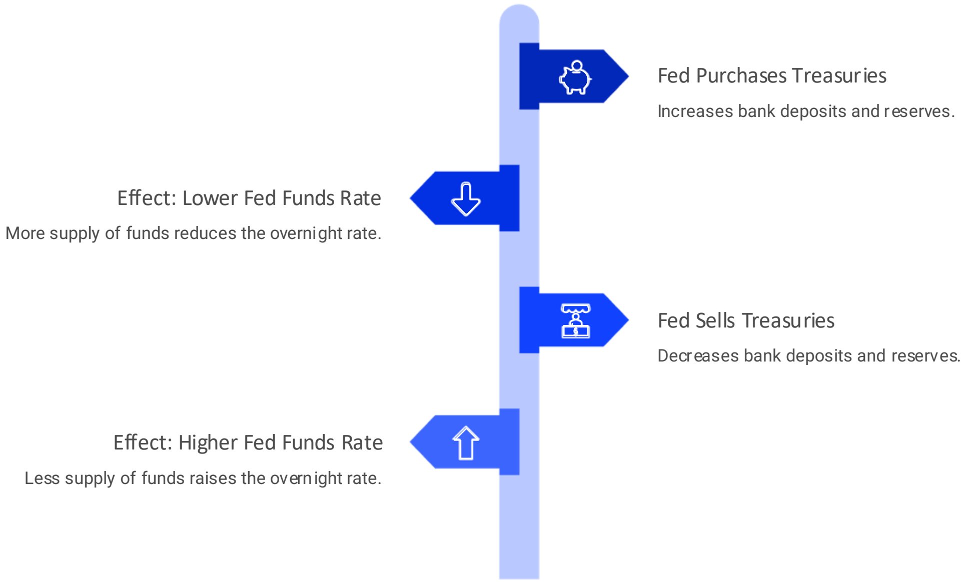


The Fed's Trading Desk

Located at the New York Federal Reserve District Bank, the Trading Desk receives policy directives from the FOMC and executes open market operations by buying and selling Treasury securities in the secondary market.

These operations control the money supply in response to ongoing changes in bank deposit levels. The FOMC can hold additional meetings at any time to adjust the federal funds rate beyond the eight scheduled annual meetings.

How Open Market Operations Work



Purchasing Securities

When the Fed buys Treasury securities from dealers, money transfers from the Fed to dealer bank accounts, increasing total deposits in the banking system. This increased supply of funds lowers the federal funds rate—a loosening of money supply.

Selling Securities

When the Fed sells securities to dealers, money transfers from dealers to the Fed, reducing bank account balances and total funds in the banking system. This decreased supply raises the federal funds rate—a tightening of money supply.

Dynamic vs. Defensive Operations

Dynamic Operations

Intended to have lasting impact on economic conditions by permanently changing the federal funds rate and money supply

Defensive Operations

Offset temporary conditions through repurchase agreements, injecting funds temporarily during holidays or other short-term events

Measures of Money Supply

The Fed focuses on M2 because it's more reliable than M1 for monitoring and controlling money supply. M1 is volatile due to changes in deposit types, while M2 and M3 provide more stable measures for monetary policy decisions.

How Open Market Operations Affect All Interest Rates

When the Fed purchases Treasury bills to increase money supply, banks have more funds available, which lowers the federal funds rate. But the effects extend far beyond this single rate.

T-Bill Prices Rise

Higher prices mean lower yields for investors

Other Securities Affected

Investors shift funds, lowering yields on commercial paper and other debt

Bank Rates Fall

Banks lower loan rates and deposit rates

Economy Stimulated

Lower financing costs encourage borrowing and spending

Alternative Monetary Policy Tools

Reserve Requirement Ratio

The Fed sets the proportion of deposits that banks must hold as required reserves. Currently, most institutions must maintain 10% of transaction accounts as reserves.

Lowering this ratio allows banks to make more loans, stimulating the economy. However, adjustments can cause erratic shifts in money supply, so the Fed rarely uses this tool.

The Fed's Lending Facility

The Fed provides short-term loans (usually overnight) to depository institutions through its discount window. It charges lower rates (primary credit rate) to creditworthy institutions and higher rates (secondary credit rate) to others.

While historically viewed as a monetary policy tool, the Fed now relies on open market operations instead. The lending facility remains an important liquidity source.

The Fed's Response to the 2008 Credit Crisis

During and after the credit crisis, the Fed implemented traditional open market operations to reduce interest rates, but also deployed various nontraditional strategies to improve economic conditions and restore financial market stability.

Quantitative Easing Strategies

Starting in 2008, the Fed implemented innovative strategies called quantitative easing—allocating specific quantities of money to purchase specific types of debt securities each month to flood debt markets with funds.

Mortgage-Backed Securities

Purchased over $30 billion monthly, holding more than $2 trillion by 2010 to stabilize housing markets

Commercial Paper

Purchased large amounts to restore liquidity after Lehman Brothers failure paralyzed markets

Long-Term Treasury Securities

Bought Treasury notes and bonds from 2010-2014 to reduce long-term interest rates

Asset-Backed Securities

Created TALF facility to purchase bonds backed by consumer, credit card, and auto loans

Global Monetary Policy

Coordination and Challenges

Each country has its own central bank conducting monetary policy to achieve price stability and economic growth. The Fed must consider global economic conditions when assessing the U.S. economy.

The European Central Bank sets monetary policy for 19 countries using the euro. This single currency means participating countries cannot solve local economic problems with independent monetary policy, though they retain control over fiscal policy.

Key Takeaways

Fed Structure

The Board of Governors and FOMC work together to determine U.S. monetary policy, with major influence on interest rates and economic conditions

Open Market Operations

The Fed purchases securities to increase money supply and sells them to reduce it, affecting all interest rates throughout the economy

Crisis Response

The Fed used quantitative easing during the credit crisis, purchasing mortgage-backed securities, commercial paper, and long-term Treasuries

Global Coordination

Central banks worldwide pursue similar goals but must balance national interests with international economic integration

Thank you